

Palantir Technologies Inc.

PLTR NYSE

Hold	\$189.25 ▼ 0.41%	12M Price Target \$210.00	52-Week Range \$106.37 – \$207.52	Market Cap \$454.79B
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PLTR: Flat Day, But Options Flow Flashing Caution

WHAT HAPPENED

- PLTR drifted down 0.4% on light volume (11.5M vs usual 17M+) — this is a "nothing day," which actually tells you something. After hitting \$190 yesterday, buyers took a breather near the 52-week high. No news, no filings — just consolidation.
- The real tell is in the options market: traders are loading up on near-term puts at \$190, \$192.50, and \$195 strikes — meaning big money is paying for downside protection right at current levels. That's not panic, but it's hedging.

WHY IT MATTERS

Here's what I'm reading: PLTR is sitting at 91% of its 52-week range with institutions holding 65% of the float — so the easy money has been made and smart money is now protecting gains, not chasing. The unusual put buying (5x normal open interest at \$192.50) suggests someone with real size is worried about a near-term pullback, possibly into earnings. The bigger picture though: the Trump administration's continued push on defense modernization and the "AI-first" procurement guidance from DoD is a structural tailwind that keeps the long-term story intact — this looks more like a tactical pause than a thesis break. Watch whether the \$185 level holds; if it breaks, next support is around \$175.

POLICY & POLITICAL WATCH

The FY2027 defense authorization debate is heating up in Congress, with AI/software budgets slated to grow faster than hardware — directly bullish for PLTR's Foundry and AIP platforms since they're already embedded with the Army (TITAN program), Space Force, and multiple intel agencies. Watch for continued movement on the administration's push to replace legacy defense IT with commercial AI software — every dollar that shifts from Lockheed/Northrop systems integration work toward "commercial-first" procurement is a dollar PLTR can compete for. The wild card: any EU AI Act enforcement actions could pressure their international commercial segment, though government revenue (~55% of total) is largely insulated.

IS IT EXPENSIVE?

Let's be real — this stock trades at roughly 90x forward sales, meaning investors are paying \$90 for every \$1 of revenue the company will generate next year. For context, Microsoft trades at ~12x and even Nvidia is at ~20x. The only way this math works is if PLTR grows revenue 35%+ for the next 3-4 years AND margins keep expanding — that's possible given the government pipeline, but there's literally zero room for a miss at this valuation.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

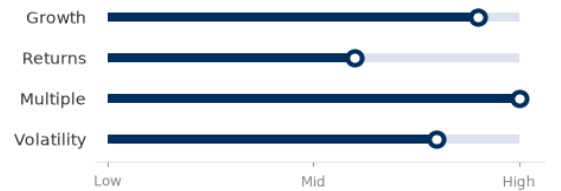
AI-Generated Pre-Market Brief | 2026-10-02 18:06 UTC

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Key Data

Price (USD)	\$189.25
12M Price Target	\$210.00
Upside / (Downside)	+11.0%
Market Cap	\$454.79B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.88
Fwd P/E	305.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$205.00	\$192.00	\$175.00
6 Months	\$230.00	\$200.00	\$160.00
1 Year	\$260.00	\$210.00	\$140.00
2 Years	\$320.00	\$240.00	\$120.00
5 Years	\$500.00	\$320.00	\$100.00
10 Years	\$800.00	\$450.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+1.28%) and Tech (+0.99%) led today — risk-on tone suggests the market isn't worried about a near-term recession. Industrials strength (+0.82%) often correlates with defense names.

COOLING OFF: Communication Services weak over 5 days (-2.31%) — ad-dependent names feeling pressure. Materials also soft on 5-day (-1.62%), hinting at commodity demand concerns.

ROTATION WATCH: Money is quietly rotating back into mega-cap tech and AI winners after a brief September wobble — PLTR benefits from that flow but is now at the "show me" phase where it needs earnings to justify the multiple.

RELATED PLAY: If you believe the defense-AI thesis, look at the picks-and-shovels names: data center REITs (DLR, EQIX) powering AI workloads, or defense primes partnering with PLTR (RTX, LMT) that trade at 20x earnings instead of 300x.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI infrastructure king — any PLTR customer running big models is buying NVDA chips underneath
- ANET (Arista Networks): Networking gear for AI data centers — benefits from the same federal/enterprise AI spending wave

PLTR CONTEXT: PLTR has crushed most AI peers YTD, but it's now trading at a premium even to Nvidia on sales multiples — which is nuts given NVDA's actual earnings power. This tells me PLTR is priced as the "pure play" AI software bet, which works until it doesn't. Lagging slightly today vs tech sector (+0.99%) hints that leadership may be rotating.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I'm nervous about the price. Great company, demanding entry point.

POSITION SIZE: 2-4% max — the volatility is real (8/10) and a 30% drawdown from here is very possible even if the long-term thesis plays out

ENTRY POINTS: I'd wait for pullbacks to \$165-175 to add. Chasing at \$190 with puts loading up near-term is bad risk/reward.

TIME HORIZON: 12-24 months — the catalyst is the FY27 defense budget finalization and continued commercial AIP adoption; Q3 earnings in early November is the next major test

WHEN TO BAIL: If quarterly revenue growth drops below 30% YoY, or if US government revenue (the crown jewel) grows less than 40% in any quarter, the thesis is cracking

HEDGING: Simplest hedge — if you own 100 shares, buy one put option 10% below current price expiring 3 months out. Costs you a small insurance premium but caps your downside if the valuation finally breaks.